



Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation (December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The questions related broadly to the following topics:

- (a) Tax administration;
- (b) Property tax;
- (c) Salaries tax;
- (d) Profits tax;
- (e) Personal assessment; and
- (f) Stamp duty.

This section included both computational and non-computational questions. Candidates' overall performance in this section was not satisfactory, particularly on questions covering tax administration.

Specific Comments

The broad range of topics covered in the syllabus may have been a key challenge for candidates. Candidates demonstrated particularly weak performance in the following areas:

- (a) Tax administration – power and authority of personnel within the Inland Revenue Department;
- (b) Tax administration – organisation of tax administration bodies in Hong Kong;
- (c) Personal Assessment – deadline of election for Personal Assessment ("PA");
- (d) Profits tax – assessable profits of non-residents;
- (e) Salaries tax – conditions in claiming child allowance; and
- (f) Salaries tax – double taxation and tax relief.

Candidates were advised that multiple choice questions could cover any part of the syllabus. Despite this, the poor performance seen here indicates that candidates did not have sufficient understanding of the full range of topics covered in the syllabus. Based on candidate performance, candidates are also advised to read questions carefully to avoid making simple or minor mistakes.



(II) Section B – Written Questions

General Comments

This section consisted of 6 questions. Candidates were required to answer all questions. The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that are commonly tackled by tax professionals in their work. Overall performance in this section was unsatisfactory. As seen in past cohorts, candidates performed poorly in essay-type questions, with many candidates opting to completely skip some essay-type question. Candidates are thus suggested to improve their writing and analytical skills; otherwise, their poor performance on similar assessment questions may greatly affect their overall performance.

Specific Comments

Question 1(a) – 5 Marks

This question required candidates to analyse the Hong Kong profits tax position of a corporation.

Performance was unsatisfactory. Many candidates omitted the three conditions under s.14 of the Inland Revenue Ordinance (“IRO”) to determine whether AT Limited’s profits were (fully) chargeable to Hong Kong profits tax and were unable to analyse the business nature of AT Limited.

Question 1(b) – 15 Marks

This question required candidates to compute the profits tax liability of a corporation.

Performance was acceptable. Candidates showed they possessed the basic knowledge needed to prepare a profits tax computation. However, they should note that:

- (a) Deduction of Research & development expenditure and its related calculations;
- (b) Non-deductible refurbishment expenses tax rules and adjustments;
- (c) Tax adjustment regarding the receipt on sale of patent; and
- (d) Approved charitable donations should be restricted to 35% of the assessable profits.

Question 1(c) – 2 Marks

This question required candidates to compute the profits tax liability of a non-resident corporation receiving royalty income from a Hong Kong corporation.

Performance was poor. Candidates showed little or no understanding of s.15(1)(b) of the IRO regarding a non-resident receiving income for the use of intellectual property rights in Hong Kong. Overall, few candidates provided a reasonable analysis to support the tax treatment of the royalty income.



Question 1(d) – 4 Marks

This question required candidates to explain the profits tax treatment in respect of the interest received on a US dollar fixed deposit placed with a Hong Kong bank.

Performance was below expectations. Most candidates correctly explained that the interest received on a US dollar fixed deposit placed with a Hong Kong bank is taxable, and many candidates correctly explained the Exemption Order; however, most candidates failed to refer to the deeming section under s.15(1)(f) of the IRO.

Question 2(a) – 3 Marks

This question required candidates to calculate the share option gain chargeable to salaries tax.

Candidates did well in this part. However, some candidates appear to not have known that, because the stock option was granted under a non-Hong Kong employment, the gain was only chargeable to salaries tax based on those attributable to services rendered in Hong Kong.

Question 2(b) – 11 Marks

This question required candidates to calculate John's salaries tax liability.

Overall performance was satisfactory. Candidates generally demonstrated basic knowledge of salaries tax computation. Candidates are suggested to be more cautious when calculating rental value and the tax treatment of domestic helper benefits. Some candidates failed to include newborn (additional) child allowance in the tax computation.

Question 2(c) – 4 Marks

This question required candidates to explain the salaries tax treatment of provision of a local worker and a foreign domestic helper working for John.

Performance was unsatisfactory. Many candidates' answers strayed off-topic and failed to answer the specific question requirement – this question was asking whether a benefit to John was chargeable to salaries tax and was not concerned with determining the source of employment of the workers.

Question 3(a) – 8 Marks

This question required candidates to describe the requirements of a valid objection against an assessment to additional tax under s.64 of the IRO.

Performance was unsatisfactory. Many candidates correctly commented on only one or two requirement(s) under s.64 of the IRO, and some appear to have confused objection with appeal.



Question 3(b) – 3 Marks

This question required candidates to analyse whether the tax in dispute could be deferred until the settlement of the objection.

Performance was very poor. Whilst many candidates stated correctly that the tax in dispute could not be deferred, only a few candidates explained the holdover methods in further detail, which showed a lack of understanding on holdover of tax in general.

Question 4 – 9 Marks

This question required candidates to analyse whether different types of stamp duty were payable on the agreement of sale and purchase of an office property and transfer of shares between two individuals.

Performance was average. Candidates generally demonstrated a good understanding of the stamp duty implications on the transfer of shares. However, candidates' answers regarding the sale and purchase of property, were unsatisfactory, particularly when determining the consideration subject to ad valorem stamp duty.

Question 5(a) – 2 Marks

This question required candidates to compute the amount of property tax payable in respect of Kent and Karen.

Candidates' performance was satisfactory. Candidates demonstrated a keen understanding of computing property tax liability. A few candidates erred in spreading over the lease premium.

Question 5(b) – 7 Marks

This question required candidates to compute Kent's reduced total income under PA.

Performance was average. Many candidates erred in arriving at the net assessable value and mortgage loan interest, and many failed to provide a correct business loss carried forward and reduced total income amount for Kent.

Question 6(a) – 2 Marks

This question required candidates to compute the amount of depreciation allowance/balancing adjustments of plant and machinery.

Performance was average. Many candidates failed to deduct the correct amount of sales proceeds (with restriction to cost) from the pools, and some even included annual allowances in their answers. As a result, many candidates failed to get the correct balancing charge amount for Question 6(b).



Question 6(b) – 5 Marks

This question required candidates to compute the assessable profits of an entity in the cessation year specifying the basis period concerned.

Candidates' performance was not good. Candidates appear to not have been familiar with preparing profits tax computation for old business. As such, many candidates failed to come up with the correct basis period as well as the correct transitional amount, and thus wrongly calculated the amount of assessable profits for the cessation year.

(III) Conclusion and Recommendation

Overall, candidates' performance was unsatisfactory. The syllabus of this paper covered tax administration, tax principles and rules under the IRO, the Stamp Duty Ordinance, and the relevant Department Interpretation and Practice Notes. Given the breadth and depth of the syllabus, the examination results revealed that candidates were generally not well prepared for the examination.

The questions consisted of computational questions and essay-type questions. Marks were mainly obtained from the computational parts. Responses to the essay-type questions which required analyses or explanations were shallow and poorly answered. The marking scheme is written with abundant available marks, enabling candidates to score marks as long as they are willing to attempt questions. Therefore, candidates are encouraged to attempt every question. Candidates' poor performance in multiple choice questions was also a factor leading to the poor overall results. Candidates are advised to familiarise themselves thoroughly with the syllabus when they prepare for the examination.